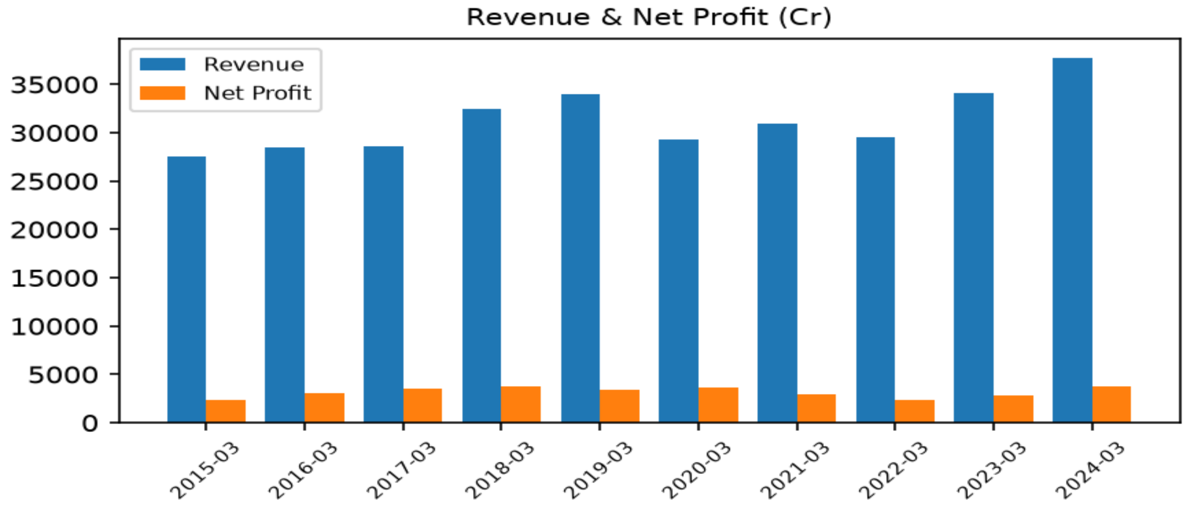
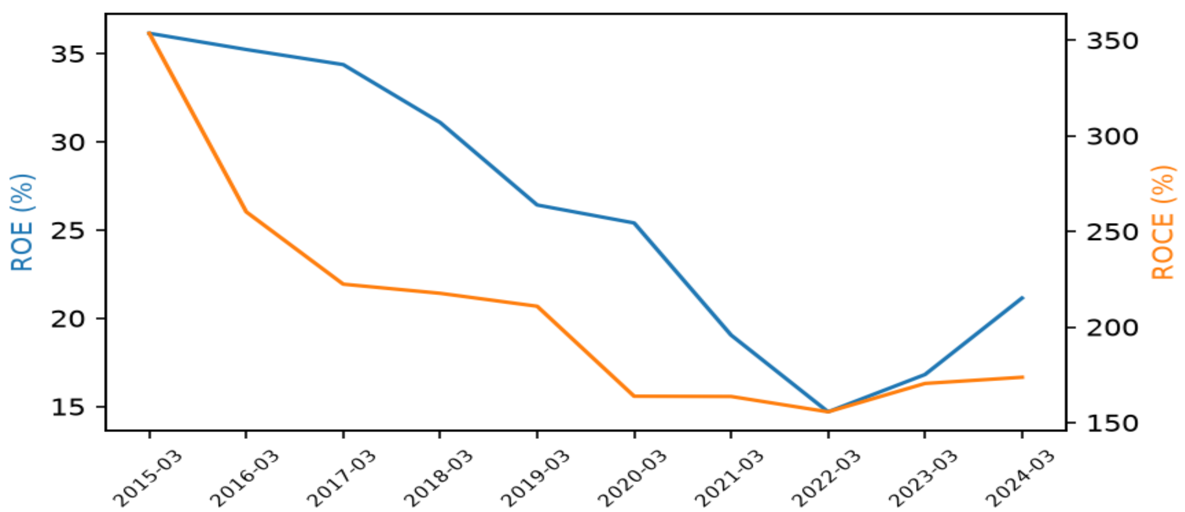
Hero MotoCorp Ltd (HEROMOTOCO)

ROE 21.1%	**ROCE** 173.7%	**Net Profit Margin** 9.9%
D/E 0.0	**Revenue CAGR 5yr** 2.2%	**Free Cash Flow (Cr)** 3095.0

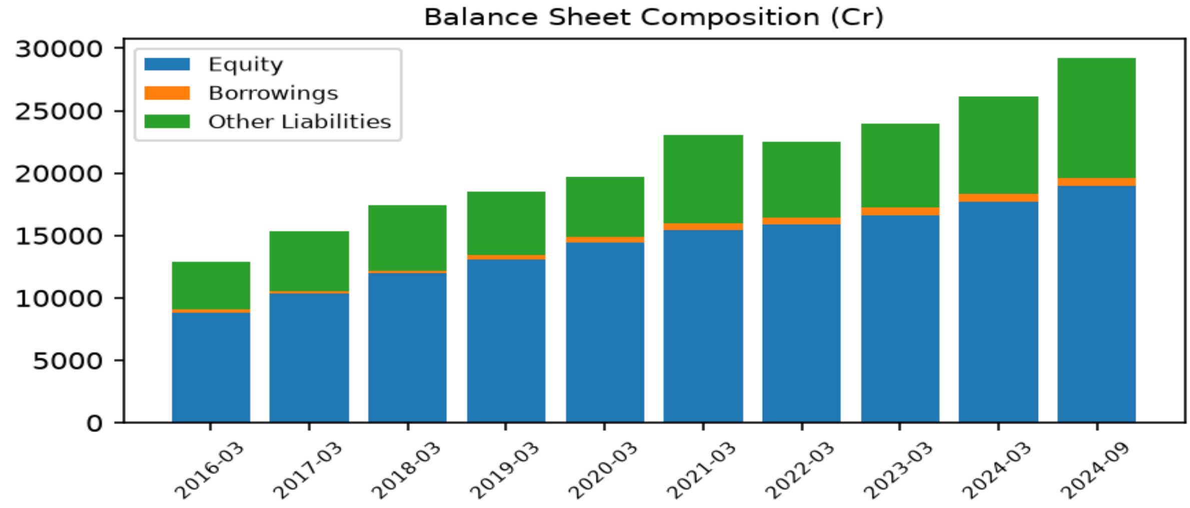
Revenue & Net Profit (10yr)



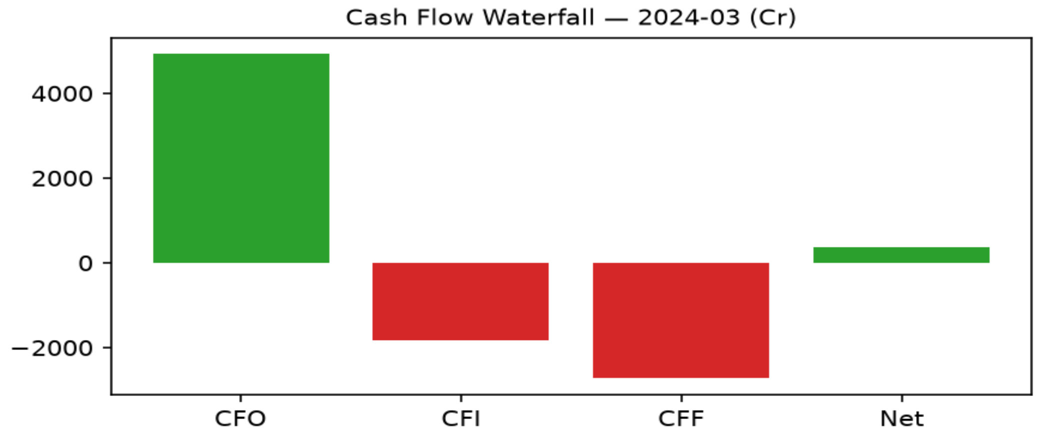
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Consistent dividend yield above 2% backed by positive free cash flow
✓ Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Shareholder Returns